

## 4. Contract Labour Act, 1970

It is applicable to organizations that have employed 20 or more contract laborers in the past twelve months.

As per Act, you can employ contract laborers through a contractor for doing a specific work that is not perennial (regular) in nature. The obligations of the contractor under the act are



In the past 12 months

a. Provide drinking water, restroom, and canteens.



b. Payment of wages, identity cards, and record keeping



Your responsibility as a principal employer is to take the license for contract labor and ensure that the contractor is fulfilling the obligations of the Act.

**Practical Tip –** Release payment of a contractor after the submission of EPF and ESI challan.

## B. Social Security Laws

There are four important social security laws. These laws include EPF, ESI, Workers Compensation Act and Payment of Wages Act. We will cover their compliances in detail.

### 1. The Employee Provident Fund Act, 1947 (EPF) and The Employee State Insurance Act, 1948 (ESI).

Organizations are required to comply with the provisions of the acts, keep records, and cooperate for inspection. Noncompliance results in penalties and legal action. The key compliance requirement under the acts are

| Compliances  | EPF                                                                                    | ESI                                                                        |
|--------------|----------------------------------------------------------------------------------------|----------------------------------------------------------------------------|
| Registration | Mandatory if you have more than 20 employees                                           | Mandatory if you have more than 10 employees                               |
| Contribution | Employee<br>12% of Basic Salary and DA<br>Organization<br>13.5% of Basic Salary and DA | Employee<br>0.75% of Gross Salary<br>Organization<br>3.25% of Gross Salary |